

# The Things the Market Can't See

*Nine notes on oil, weather, gold, gas and the stubborn physical world beneath the market.*

## THE OPENING THOUGHT

Markets measure what they can see. The surprises usually arrive from the tank with the fixed roof, the warm winter, the delayed mine restart or the technology that refuses to disappear on schedule.

**1.5bn**

Barrels of disrupted supply  
cited by the source

**\$100**

Approx. crack spread cited  
by the source per barrel

**25%**

Gold decline from its  
January peak, cited

**40%**

Wheat rise in 2026, cited by  
the source

This commentary is a tour of commodities, but its deeper subject is observation. Sometimes the official data has a blind spot. Sometimes the weather moves the timetable. Sometimes a very good story becomes too expensive, and sometimes the neglected part of a system suddenly matters again. These notes turn that dense research into a human-sized guide.

Facts, figures and forecasts remain attributed to the supplied Goehring & Rozencwajg report. This is an editorial synthesis, not independent verification, personalised investment advice or a recommendation to buy or sell any asset.

# The short version

The supplied market commentary sees a world of hidden scarcity. Its strongest call is oil: official demand estimates may understate real consumption because refinery disruption is being mistaken for demand destruction, while unseen refined-fuel inventories absorb the difference. Elsewhere, the report urges patience rather than blind conviction: gold may still be correcting, grains need time, warm winters have delayed the US gas case, copper may no longer offer easy risk-reward, and platinum-group metals could benefit if hybrid vehicles gain more ground. The shared lesson is wonderfully ordinary: distinguish the story from the stockpile, the theme from the price, and the temporary cushion from a durable solution.

**Oil is the report's loudest disagreement with consensus.**

The source thinks the apparent demand collapse may partly be a measurement artefact and that refined-product inventories, which are hard to observe, have carried more of the burden.

**The source is selective, not uniformly bullish.**

It remains constructive on several long-run resource themes, but is cautious on gold in the near term and says copper no longer offers the easy return it once did.

**Weather and technology transitions take their own time.**

Mild winters can delay a gas thesis; a hybrid resurgence can change metal demand. A forecast is a map, not an appointment.

The pages that follow are intentionally short. Each holds one idea, one uncertainty and one way of seeing the physical economy with slightly fresher eyes.

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Nine short pieces derived from the supplied quarterly commentary.

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# Oil can be missing before the spreadsheet notices

**The report's central worry is that the world is mistaking a hard-to-see drawdown in refined fuels for a collapse in demand.**

The source begins with an extraordinary claim: disruption around the Strait of Hormuz has withheld more than 1.5 billion barrels of expected supply, yet reported OECD commercial inventories have barely moved. Markets have inferred that the system coped. Goehring & Rozenchwajg argue that this calm may be more accounting than comfort.

Their key distinction is between refinery runs and people actually using fuel. When refineries process less crude because of export bans, damage, feedstock shortages or logistics, official models can record a fall in apparent oil demand. But motorists, airlines and factories may still be consuming the refined products already sitting in tanks. The missing fuel is not necessarily missing demand. It may simply be hidden inventory doing its quiet, unglamorous job.

This is a hypothesis, not a settled fact. The point is nonetheless valuable: what can be measured easily is not always the same as what matters most. Crude tanks can be estimated from the sky. Refined-product tanks often cannot. The part of the system that is hardest to observe can therefore become the part that surprises everyone.

*"The most important inventory is often the one with a roof nobody can see through."*

## **The source's warning**

The reported demand drop may partly reflect lower refinery activity rather than lower end-use consumption. If so, visible oil balances could understate draws in refined-fuel stocks.

**Source trail:** Goehring & Rozenchwajg, Natural Resource Market Commentary, 2Q 2026, Why the Tanks Have Not (Yet) Run Dry.

# Strategic reserves and tankers only help once

**The report treats several apparent oil-market rescues as finite cushions: helpful in the moment, but not recurring sources of supply.**

Strategic petroleum reserves are the clearest example. They exist precisely for emergencies, and releasing them can keep a market functioning. But a strategic reserve is a cupboard, not a factory. The source notes that governments have already released a meaningful portion of their planned emergency barrels and says the remaining stocks are being guarded more carefully.

Oil on water is another temporary cushion. When less crude is moving by sea, barrels that were previously in tankers can arrive onshore and briefly support commercial inventories. But the ocean pipeline can only shrink once. When normal trade resumes, the floating pipeline must be rebuilt, absorbing barrels again rather than donating them.

This is the common sense of inventories: a drawdown can bridge a gap, but it does not erase the gap. Markets love a bridge because it looks like a road. The bill comes when everyone tries to restock at the same time.

*"An emergency cupboard is comforting right up to the moment it is empty."*

## Why logistics matters

A barrel in transit and a barrel in a commercial tank are both barrels, but they do different jobs. Changes in shipping routes and travel time can alter visible inventories without changing how much oil the world ultimately needs.

Source trail: Goehring & Rozencwajg, Natural Resource Market Commentary, 2Q 2026, Why the Tanks Have Not (Yet) Run Dry.

## Sometimes the better oil clue is not oil

**The report argues that the margin between crude and refined-fuel prices offers a better detective story than the crude price alone.**

A crack spread is simply the money made by turning crude oil into useful products such as gasoline, diesel and jet fuel. In a genuine collapse of end-use demand, one would normally expect those margins to weaken. If nobody wants the finished products, refineries cannot charge much for producing them.

The source instead points to record crack spreads around 100 dollars per barrel. Its interpretation is that fuel demand has remained firmer than the headline oil-demand numbers suggest, while the ability to refine and distribute product has been constrained. Think of it as a restaurant with plenty of hungry customers but a broken kitchen: raw ingredients may be cheaper while meals become painfully expensive.

No single market indicator settles the case. Crack spreads can move for many reasons. But the broader lesson is excellent: when the market's narrative says demand vanished, check the price of the finished product. A system can look calm in one price and frantic in another.

*"A cheap tomato does not prove dinner is cheap when the kitchen has caught fire."*

### Plain English

Crack spreads measure the value created by refining crude into fuels. Very high spreads often indicate a shortage or disruption in refining and product supply, rather than weakness in end-use fuel demand.

Source trail: Goehring & Rozenecwajg, Natural Resource Market Commentary, 2Q 2026.

# A correction can stop at every floor

**Gold and silver have already fallen sharply from their early-2026 peaks, but the source believes it is too soon to declare the elevator has reached the lobby.**

The report says gold fell more than 25% from its January peak and silver more than 50%, while gold- and silver-mining equities fell sharply too. It compares the current move with previous cycles in which a burst of silver strength was followed by a longer, sometimes painful, precious-metals correction.

Its explanation centres on real interest rates: the return investors can earn after inflation. When those returns rise, holding an asset that pays no income becomes less appealing. The source expects inflation pressure to force higher rates and therefore thinks Western investors may have more gold and silver ETF selling ahead.

But gold has another set of buyers: central banks. The report notes that official purchases improved in the second quarter and may cushion the fall. The important word is may. Central-bank demand can change the depth of a correction; it cannot guarantee that the correction has finished. Gold is not a lift with floor buttons. It is more like a long walk down a mountain, with plenty of attractive ledges.

*"A lower gold price is not a bottom. It is a question wearing a price tag."*

## Source figures and view

The report cites 347 tonnes of central-bank gold purchases in the first half of 2026, down 17% year-on-year, and believes the precious-metals correction may persist. Those are source-reported figures and views.

**Source trail:** Goehring & Rozencwajg, Natural Resource Market Commentary, 2Q 2026, Not the Bottom Yet for Gold.

# The weather report is part of the valuation

**Agriculture looks calm until it does not. The source sees a market with decent near-term crops but an increasingly unusual meteorological backdrop.**

The report makes a deliberately patient case for grains. Corn, soybeans and wheat have recovered from their earlier lows, yet good US growing conditions and ample inventories may keep prices moving sideways for a while. Wheat is the exception: the source says drought damaged the US winter crop and helped push prices materially higher.

The long-term case turns on weather cycles. The report highlights a strong El Niño and worries that several ocean and climate patterns could align in ways that increase drought risk for important agricultural regions. It is careful to say that historical disasters are not forecasts. That restraint matters. Weather analogies can become very dramatic very quickly, especially when someone has just discovered the word super.

Still, the useful investing idea is that agriculture has a lag. By the time the poor harvest is obvious, the prices may have already reacted. The task is not to predict every cloud; it is to notice when sentiment, inventory and weather all become less friendly at the same time.

*"The crop does not care about the consensus. It cares whether rain arrives on Tuesday."*

## The two timeframes

Near term: the report sees largely neutral grain fundamentals. Longer term: it sees a more constructive case based on low interest, unusual weather risks and agricultural sentiment.

Source trail: Goehring & Rozenchwajg, Natural Resource Market Commentary, 2Q 2026, Agriculture: The Patience Before the Storm.

# Weather can delay a thesis without killing it

**The source's US natural-gas case met an unexpected opponent: several extraordinarily warm winters in a row.**

The basic natural-gas thesis is easy to follow. US shale supply is still growing, but its growth rate has slowed. Meanwhile, LNG export capacity has expanded. At some point, the growing ability to export gas could tighten the domestic market and narrow the huge price gap between cheap US gas and more expensive overseas gas.

The source expected this convergence sooner. Then weather intervened. It describes a sequence of exceptionally mild winters, including the mildest and second-mildest in the historical record, which reduced heating demand and allowed inventories to build. The thesis did not disappear; the calendar simply became rude.

This is an excellent reminder that a good structural idea can be mistimed by something as ordinary as a warm winter. Supply and demand are not abstract curves. They are people switching on boilers, cargoes leaving ports and a thermometer doing what it pleases.

*"A model can be right about the decade and still lose an argument with February."*

## The source's mechanism

Slower shale-supply growth plus faster LNG-export growth could tighten US gas over time. Weather has delayed that process by depressing seasonal demand and swelling inventories.

**Source trail:** Goehring & Rozencwajg, Natural Resource Market Commentary, 2Q 2026, What the Warm Winters Concealed.

# The old fuel refuses to read the future forecast

**The report argues that coal demand has proved more persistent than the consensus expected, especially as China continues to build power capacity.**

Coal is one of those assets that the market has been retiring in theory for a long time. In practice, power demand, grid reliability and industrial growth have made the exit more complicated. The source points to a large Chinese pipeline of coal-fired generation capacity and argues that demand has not yet peaked in the clean, linear way many forecasts assumed.

This is not a moral defence of coal, nor a prediction that every coal company wins. It is a reminder that an energy transition is an addition problem before it becomes a replacement problem. New wind, solar, batteries and transmission must be built, while old systems keep providing the electricity that prevents society from conducting board meetings by candlelight.

Markets often price the destination and neglect the route. The route can be years long, capital intensive and stubbornly dependent on the assets everyone assumed were already obsolete.

*"An energy transition is not a light switch. It is a very crowded extension cord."*

## The report's contrarian point

The source sees coal demand as more durable than prevailing forecasts, driven in part by Chinese power capacity and supply disruption. This remains the author's market view.

Source trail: Goehring & Rozencwajg, Natural Resource Market Commentary, 2Q 2026, Peak Coal, Postponed Again.

# The easy money may already have gone to lunch

**The report remains positive on commodities broadly, yet draws a line around copper: a good long-term story can become an awkward near-term price.**

Copper has a beautiful narrative: electrification, grids, data centres, electric vehicles and years of underinvestment. The source does not deny any of it. Its challenge is more prosaic. It sees inventories rising, demand softer than expected and the possibility that disrupted mine supply returns, perhaps alongside a future restart of large projects such as Cobre Panama.

That makes copper a useful antidote to theme investing. A metal can be essential and still be overpriced. The report compares the current enthusiasm with a previous copper short squeeze and concludes that much of the easy return may already be behind the market, even if prices can still rise for a while.

The point is not to dislike copper. Copper will continue doing an admirable job of conducting electricity regardless of anyone's portfolio. The point is to distinguish between a powerful structural use case and a favourable risk-reward at today's price. They are distant cousins, not twins.

*"A commodity can be indispensable to the future and inconveniently expensive in the present."*

## A good habit

When a long-term theme becomes universally loved, revisit the short-term balance: inventories, demand, returning supply and the price already paid for the story.

**Source trail:** Goehring & Rozencwajg, Natural Resource Market Commentary, 2Q 2026, Copper: The Easy Money Has Been Made.

# The car got more complicated

**The report sees the shift from pure EV enthusiasm towards hybrids as a potentially important twist for platinum and palladium.**

Platinum-group metals are not merely shiny cousins of gold. Their most important demand comes from industry and cars. The source says a large first-half ETF liquidation added temporary supply and pushed prices lower, while underlying physical markets remained tighter than the market narrative suggested.

The more interesting idea concerns hybrid vehicles. The report argues that hybrids may gain share relative to both pure electric and conventional combustion vehicles, and that hybrids can use more platinum-group metals in their catalytic systems because the engine repeatedly starts and stops. If that view proves right, forecasts built on a rapid replacement of combustion engines by battery EVs may be too pessimistic for PGM demand.

This is a decidedly non-consensus scenario and should be treated as such. But it offers a useful reminder: technology transitions rarely travel in one clean line. Consumers, infrastructure, regulation, energy efficiency and cost all get a vote. The future car may turn out to be less a revolution and more a very sophisticated compromise.

*"The future rarely chooses one technology. It usually chooses the one that works on Monday morning."*

## Source figures and interpretation

The report cites roughly 500,000 ounces of platinum ETF liquidation in the first half of 2026 and argues that hybrids could be more PGM-intensive than conventional cars. These are source-reported figures and views.

**Source trail:** Goehring & Rozencwajg, Natural Resource Market Commentary, 2Q 2026, The Hybrid Surprise.

## Source notes

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**This collection is based solely on the supplied Goehring & Rozencwajg market commentary. It does not independently verify every commodity balance, inventory estimate, forecast, historical comparison, price statistic or scenario. Opinions and projections remain those of the original authors.**

### **Source material used**

Goehring & Rozencwajg, *Natural Resource Market Commentary, Second Quarter 2026*, published 28 August 2026.

### **Not investment advice**

This is a reading guide, not a recommendation to buy, sell or hold any asset. It does not take account of individual objectives, circumstances or tolerance for risk.

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